

insurance company, no less. In exchange for the lump sum, the company promises to slowly return this money until the day of the retiree's death. This irreversibility also creates the concern that the value of the account is lost to the family and loved ones because in the event of death, and if no guarantee period is selected, the insurance company retains any remaining unpaid portion.

Given the permanence of this action, this transaction might rightfully feel like financial suicide to many retirees. Ironically, as I mentioned earlier in the chapter, the loathed process of annuitization is at the core of defined benefit (DB) pensions—a steady generator of retirement income, which is cherished by retired civil servants around the world. In fact, the income from Social Security is also based on a type of annuitization process. You can't securitize, cash in, or monetize your income stream, although it definitely lasts for the rest of your life. And, aside from providing longevity insurance, annuitization offers a substantial benefit to the retiree in the form of mortality credits. I'll explain more about this in a minute.

So which one is it then? Is annuitization odious or perhaps is it the foundation of a well-balanced retirement income plan and hedging strategy? In an attempt to address the fog of confusion surrounding the financial benefits of annuities, allow me to digress a bit and provide a closer look at the pros and the cons. Indeed, if you are going to accept annuitization as a partial solution for your retirement income, then you should understand the mechanics of how they work. And, if you plan to bypass them as viable solutions, then it makes sense to talk intelligently about their shortcomings.

The Pros of Annuitization

As I mentioned, an immediate annuity provides lifetime income that cannot be outlived, making it an invaluable hedging tool against longevity risk, which I discussed in past chapters. Recall, this is the risk of unexpected improvement in mortality and/or that a retiree lives far beyond any average life expectancy. Think of it as the equivalent of systematic/economic risk versus individual risk, which I explained in Chapter 3, "Diversification over Space and Time."